

during 1995–1996 and around 2013, emerging markets traded at parity or even a premium to the U.S. markets. As we write this, the current discount is 40% to 50%. These swings between undervalued and overvalued is a source of opportunity for disciplined investors who can handle the volatility.

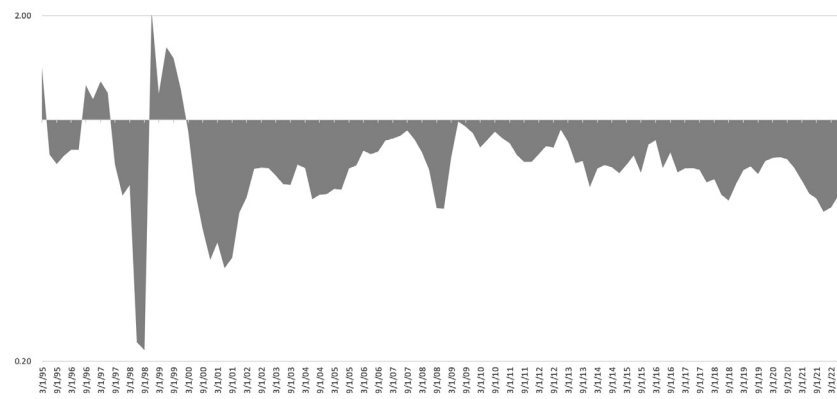


FIGURE 1 Valuation of Emerging Markets Relative to the S&P

Source: Bloomberg Data: relative P/E ratio of S&P 500 (SPX) to MSCI Emerging Markets Index (MXEF), month end 12/1995 to 6/2022.

Before proceeding further, it is important to highlight the distinction between developed international markets and developing markets, because these two types of markets can present distinct risks. The larger developed financial markets, particularly Canada, the United Kingdom, and Australia, closely resemble the U.S. market in terms of reporting standards, securities regulation, market liquidity, and corporate governance. The analytical principles laid out by Graham and Dodd to uncover undervalued securities can be applied in these developed international markets with one additional consideration—that of foreign exchange risk, whereby a significant change in the exchange rate could overwhelm the importance of a company’s fundamentals. While we would still require higher potential returns than comparable U.S. investments to invest in